

Paradiem

The Morning Brief

JULY 13, 2026

Hormuz Reprice

Iran escalates Gulf-base strikes overnight, oil bids ~4% pre-open, FAST prints Q2 into a CPI-Warsh-banks compression Tuesday.

S&P 500 (FRI CLOSE) \$754.95 · ↑0.43% Fri	S&P FUTURES (SUN 9PM ET) ↓0.34% per Benzinga	WTI SEP FUTURES (SUN OVERNIGHT) ~\$74.35 · ↑~4% per Yahoo	BITCOIN (LIVE) ~\$64,200 per Yahoo	FEAR & GREED CNN ~49 Neutral per CNN · data drop returned crypto fallback (28)
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SECTION 01

Markets — Iran Escalation Reprices Monday Open

OVERNIGHT FUTURES TURN LOWER AS IRAN REPORTEDLY WIDENS ATTACKS ON U.S. BASES IN GULF STATES PER REUTERS, WITH HORMUZ TRAFFIC SLOWING TO A MULTI-WEEK LOW; S&P FUTURES TRADED ↓0.34% AND NASDAQ FUTURES ↓0.72% LATE SUNDAY PER BENZINGA, WTI SEP FUTURES BID ~4% TO \$74.35 AND BRENT SEP TO \$79.08 PER YAHOO/BENZINGA — FRIDAY’S “ABSORBED” COMPOSITION HAS RESET

For FCI’s framework, the weekend reset is the first live test of whether the chip-led bid that carried the week into Friday can absorb a genuine physical-supply scare rather than a policy scare. Friday’s data drop closed the S&P at \$754.95 (↑0.43%) on Materials (XLB ↑1.25%), Staples (XLP ↑1.11%), and Comm Svcs (XLC ↑1.02%) leadership per the data drop — a defensively-tilted broadening even as NVDA closed at \$210.96 (↑4.03%) and AMD at \$557.89 (↑2.04%). Overnight, per Reuters coverage in the data drop headlines, Europe’s jet fuel stocks have thinned to less than a month’s supply as Iran tensions flare — a signal that the physical-supply framing extends beyond crude into refined products, and one that historically tends to widen refiner crack spreads. Chair Warsh’s Tuesday testimony now lands into a materially different backdrop than his Warsh-chaired FOMC minutes framed a week ago. Carson’s SPY \$645.80 support remains active per levels.json, well-removed from Friday’s \$748.10–\$755.42 intraday range — no level was hit.

S&P 500 (FRI CLOSE)	\$754.95 · ↑0.43% Fri per data drop
S&P FUTURES (SUN 9PM ET)	↓0.34% per Benzinga · Nasdaq futures ↓0.72%
WTI SEP FUTURES (OVERNIGHT)	~\$74.35 · ↑~4% Sun per Yahoo/Benzinga
BRENT SEP FUTURES (OVERNIGHT)	~\$79.08 · ↑~4% Sun per Yahoo/Benzinga
HORMUZ TRAFFIC	Multi-week low per Reuters
EUROPE JET FUEL STOCKS	Less than one month's supply per Reuters
CARSON'S SPY SUPPORT	\$645.80 active · far from Fri intraday \$748.10–\$755.42

FAST Q2 PRINTS PRE-MARKET TODAY PER FAST IR — THE FIRST FCI DIVIDEND-SLEEVE Q2 READ OF THE CYCLE, WITH CONSENSUS AT \$0.33 EPS ON ~\$2.34B REVENUE PER YAHOO/TRADINGVIEW; TUESDAY COMPRESSES JUNE CPI AT 7:30 AM CT PER BLS CALENDAR (CLEVELAND FED NOWCAST 3.96% HEADLINE YOY, BARCLAYS 3.8%), CHAIR WARSH

TESTIMONY AT 9 AM CT PER CONGRESSIONAL COVERAGE, AND BIG-BANK Q2 EARNINGS BEFORE THE BELL (JPM, C, WFC, GS, BAC) PER KIPLINGER

For FCI's framework, FAST is the industrial-distribution tell: if July-quarter demand held into the Iran ceasefire lapse, the read-across supports the Dividend-sleeve industrial complex (PCAR \$124.57 ↑1.05% Fri, CAT \$952.41 ↑1.49%, STLD \$228.42 ↑2.86% per data drop). Tuesday's macro window is genuinely compressed — the June CPI print lands 90 minutes before Warsh's House testimony per Bloomberg, and the print will bracket the pre-escalation May energy dip that Barclays cited for its 3.8% forecast. Per Kiplinger coverage, JPM is expected to earn \$5.49 EPS on \$48.7B revenue with options-implied moves ranging from 4.4% (JPM) to 6.0% (GS) — a signal that the net-interest-margin and consumer-credit read for the FCI Dividend sleeve's financial exposure (SYF \$72.44) could carry weight into Wednesday's MS print.

Simplicity Over Complexity.

Friday's tape priced Iran as tactical; the weekend Gulf-base attacks and Hormuz traffic drop reintroduce physical-supply risk into a Tuesday CPI window that Barclays framed off pre-escalation crude. The compression matters more than the print. Research Reveals Opportunities.

SECTION 02

Geopolitics — Iran Escalates on Gulf Bases, Hormuz Traffic Drops

PER REUTERS COVERAGE IN THE DATA DROP HEADLINES, IRAN REPORTEDLY ESCALATED ATTACKS ON U.S. BASES ACROSS GULF STATES OVER THE WEEKEND AND WARNED OF MORE "INCIDENTS" IN THE STRAIT; HORMUZ VESSEL TRAFFIC REPORTEDLY SLOWED TO A MULTI-WEEK LOW AS RENEWED U.S. AND IRAN STRIKES RAISED SAFETY RISK PER REUTERS; OVERNIGHT OIL BID ROUGHLY 4% PER YAHOO/BENZINGA WITH WTI SEP ~\$74.35 AND BRENT SEP ~\$79.08, AND PER REUTERS COVERAGE IN THE DATA DROP HEADLINES, EUROPE'S JET FUEL STOCKS HAVE REPORTEDLY THINNED TO LESS THAN A MONTH'S SUPPLY

For FCI's framework, the composition of the weekend escalation is materially different from Wednesday's: the earlier round centered on Iran-side infrastructure and Gulf air-defense; this round hits U.S. force posture directly, which historically tends to lift the defense-primes bid and firm the risk premium on crude. For the Upstream and Refiner sleeves — DVN (\$42.23 Fri, ↑0.50%), CVX (\$176.40, ↑1.35%), and VLO (\$280.69, ↓0.20%) per the data drop — the physical-supply framing skews to the upside for cash flows if Hormuz throughput stays impaired and jet-fuel scarcity firms crack spreads. Per Yahoo coverage in the data drop headlines, oil is nearing \$80 a barrel amid the escalation, and per Reuters, the rupee hit a one-month low as renewed conflict lifted prices — a signal that the FX transmission mechanism is already running. For the Defense sleeve, LMT (\$523.22, ↑0.96% Fri) and GD (\$375.06, ↑0.12%) enter Monday with the NATO >\$50B pledge structural backdrop compounded by the fresh U.S.-base attacks. **The physical world matters.**

PER REUTERS COVERAGE, INDIAN SHARES FELL AS OIL JUMPED ON THE RENEWED ESCALATION AND INDIA REPORTEDLY CONTINUES TO HOLD OUT FOR BETTER TERMS IN U.S. TRADE TALKS; OVERNIGHT, S&P FUTURES TRADED ↓0.34% AND NASDAQ FUTURES ↓0.72% LATE SUNDAY PER BENZINGA — A MOVE THAT SIGNALS THE CHIP-COMPLEX RALLY REPRISSES THE IRAN RISK AFTER FRIDAY'S ABSORPTION; PER YAHOO COVERAGE IN THE DATA DROP HEADLINES, CHIP STOCKS REPORTEDLY SLID ON THE U.S.-IRAN STRIKES AS THE PEACE DEAL WAS TESTED (INTC, AMD, NVDA, AVGO)

For FCI's framework, the tell for Monday is whether the chip-led bid can absorb a second consecutive escalation cycle: NVDA closed Friday at \$210.96 (↑4.03%) and AMD at \$557.89 (↑2.04%) per the data drop even as MRVL gave back ↓3.07% to \$235.81 and CRDO ↓2.96% to \$257.79 — the concentration of the AI-capex bid on the mega-caps could be tested if today's tape opens weaker. Per Reuters coverage in the data drop headlines, the U.S.-Iran ceasefire that Barclays cited for its 3.8% CPI forecast is now testing whether Iran's Hormuz leverage escalates rather than de-escalates; if the CPI print holds sub-4% Tuesday, the Warsh testimony that follows 90 minutes later could take a more hawkish framing on the

July-forward energy pass-through rather than the June-backward read. Per Reuters coverage cited in prior briefs, mediators Pakistan and Qatar continue working the technical track — a diplomatic option that historically tends to compress the risk premium if traction emerges. **Think Like an Owner.**

IRAN ESCALATION	Attacks on U.S. bases in Gulf states per Reuters · more "incidents" warned
HORMUZ TRAFFIC	Multi-week low per Reuters
EUROPE JET FUEL STOCKS	Less than one month's supply per Reuters
RUPEE	One-month low on renewed Mideast conflict per Reuters
OVERNIGHT FUTURES (SUN 9PM ET)	S&P ↓0.34% · Nasdaq ↓0.72% per Benzinga
CHIP COMPLEX (OVERNIGHT READ)	Reportedly slid on U.S.-Iran strikes per Yahoo
ISRAEL ELECTION DATE	Oct. 27 per Reuters · coalition-head confirmation

SECTION 03

On Our Radar

1. FAST Q2 Pre-Market Today per FAST IR — Consensus \$0.33 EPS on ~\$2.34B Revenue per Yahoo/TradingView; The First FCI Dividend-Sleeve Q2 Print of the Cycle Ahead of Tuesday's Big-Bank Kickoff. Per Benzinga coverage in the data drop headlines, FAST is set up as the industrial-distribution tell for the quarter — Jefferies reportedly upgraded to Buy with a \$52 PT and Baird maintains Outperform. FAST closed Friday at \$46.49 (↑0.30%) per the data drop, sitting just below Jefferies' PT. The read-across from FAST margins and MRO commentary tends to bracket the near-term industrials tape (PCAR \$124.57 Fri, CAT \$952.41, STLD \$228.42 per data drop) and clarifies whether the industrial-distribution channel firmed into a post-payrolls demand backdrop before the Iran ceasefire lapsed. *Research Reveals Opportunities.*

2. Tuesday Macro Compression — June CPI at 7:30 AM CT per BLS Calendar (Cleveland Fed Nowcast 3.96% Headline YoY, Barclays 3.8%), Chair Warsh House Financial Services Testimony at 9 AM CT, Big-Bank Q2 Earnings Before the Bell (JPM, C, WFC, GS, BAC) per Kiplinger. Per Kiplinger coverage, JPM is expected to earn \$5.49 EPS on \$48.7B revenue and BAC \$1.12 EPS on \$30.7B, with options-implied moves ranging from 4.4% (JPM) to 6.0% (GS). The Barclays 3.8% forecast reflects the mid-June crude decline into the U.S.-Iran ceasefire per Yahoo; the weekend re-escalation now frames whether Warsh's Tuesday testimony reads the print as June-backward or July-forward. For FCI's Dividend-sleeve financial exposure (SYF \$72.44 ↑1.22% Fri per data drop), Tuesday's bank prints clarify the net-interest-margin backdrop and consumer-credit signal for a portfolio holding announced digital-and-AI leadership changes per Yahoo coverage in the data drop headlines. **Avoid Erosion.**

3. Refiner & Upstream Read-Across — Overnight WTI Sep Bid ~\$74.35 (↑~4%) and Brent Sep ~\$79.08 per Yahoo/Benzinga; Per Reuters Coverage in the Data Drop Headlines, Europe Jet Fuel Stocks Reportedly Thinned to Less Than a Month's Supply; Per Yahoo Coverage in the Data Drop Headlines, VLO Reportedly Captured Strong Fuel Demand and Elevated Crack Spread Framing Into the Print Cycle. For FCI's Refiner and Upstream sleeves, the physical-supply framing skews to the upside for VLO (\$280.69 Fri), DVN (\$42.23, ↑0.50%), and CVX (\$176.40, ↑1.35%) per the data drop — the read is whether the jet-fuel scarcity in Europe firms distillate crack spreads into July while Iran's Hormuz leverage stays elevated. Per Yahoo coverage in the data drop, CVX was among the names lifted by the escalation as oil neared \$80/bbl. Per Reuters, the U.S. reportedly signaled Iran must commit to stopping Hormuz attacks — a policy backdrop that historically frames the duration of the physical-supply premium. *The physical world matters.*

4. Digital-Sleeve & Levels — Bitcoin Reportedly Held Near \$64,200 Through the Weekend per Yahoo Despite the Escalation, IBIT Closed ↑1.17% at \$36.23 and ETHA ↑2.58% at \$13.53 Friday per the Data Drop; Per Yahoo Coverage in the Data Drop Headlines, HOOD Reportedly Brought AI Agent Trading to Crypto After 70,000 Accounts Joined Beta; Carson's SPY \$645.80 Support Remains Active per levels.json, Well-Removed From Friday's Intraday Range \$748.10–\$755.42 per the Data Drop. For FCI's Digital Assets and Growth-Hybrid sleeves, the weekend Bitcoin resilience matters more than Friday's miner give-back (MARA ↓4.69% to \$12.60, HUT ↓3.77% to \$102.22 per data drop) — spot-ETF holders remain the anchor as the CLARITY Act cycle progresses per Yahoo coverage. Per Yahoo coverage in the data drop headlines, Coinbase's CPO reportedly pushed back on Sen. Warren's CLARITY Act national-security framing — a regulatory-track item. The data drop returned the crypto fallback value (28) for Fear & Greed — the CNN stock-market read was ~49 (Neutral) per CNN as of July 10; a CNN endpoint miss to flag per CLAUDE.md. No Carson level was hit Friday. **Think Like an Owner.**

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